

MARKET RESEARCH · RE-PROJECT

UK Property Investor Landscape

Tax squeeze pushes flippers toward planning gain. Flippers, small developers, landlords and the tools they use, with a Cambridge focus and a recommended first customer.

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At a glance

- **Tax has moved where the profit is.** The 5% stamp duty surcharge, Section 24, the end of Section 21 evictions and Bank Rate at 3.75% have squeezed "buy, redecorate, sell". Only ~10,570 homes were flipped in 2025, half the 2016 level. Profit now comes from **creating** something: an extension, a conversion, a new home in the garden.
- **Nobody scores listings for extension or garden-plot potential.** Tools either price-screen listings (£4–£250/month) or map land for developers (from ~£195/month). PropertyData, with its "large plot" screen, is the likeliest fast follower.
- **Cambridge maths is tight.** At average prices, buying a house, winning consent for one garden home and selling the plot roughly breaks even after ~£37.5k stamp duty and ~£33k bridging interest. It pays when bought below value, the plot is bigger, the area pricier, or the investor builds. A credible "no" is a valuable output.
- **Avoid HMO conversions in Cambridge for now.** The council is pursuing an Article 4 direction on small HMOs from autumn 2026.
- **Beachhead:** investors who bought an existing house in the last 3 years and applied to build at least one extra home on its land, with their own money. If Cambridge is too small, widen the map (South Cambridgeshire villages), not the customer type.
- **First question for every interview:** do they buy on the open market at all? If not, the product points at owners to write to, not listings to buy.

⚠ The research could only read search-engine summaries, not the source pages. Re-check key numbers before quoting them externally.

Jargon in one line

BTL	Buy-to-let: buying a home to rent out.
Flip	Buy, improve, resell, usually within about a year.
HMO	House in multiple occupation: a shared house let to several unrelated tenants.
BRRR	Buy, refurbish, refinance, rent: add value, then remortgage to pull cash back out.
Title split	Dividing one property's legal title into two, e.g. house and garden plot.
GDV	Gross development value: what the finished homes will sell for.
Bridging loan	Short-term, expensive loan used to buy quickly before longer finance.
SDLT surcharge	Extra 5% stamp duty on second homes and investment purchases.
Section 24	Rule limiting tax relief on landlords' mortgage interest.
Section 21	"No-fault" eviction, abolished on 1 May 2026.
CIL / S106	Council charges on new homes to pay for local infrastructure.
Article 4	Council order removing automatic permission for certain changes, e.g. small HMOs.
SPV	Special purpose vehicle: a company set up to hold one property or deal.

The UK residential investor scene is large, professionalising and being squeezed toward value-add. About **2.88 million individuals** declare rental income, a number now falling. A record **443,000 buy-to-let companies** exist. But only **about 10,570 homes were "flipped"** (bought and resold within a year) in England and Wales in 2025, half the 2016 level, because the 5% stamp-duty surcharge on additional homes swallows much of a cosmetic flip's profit. Tax changes, the Renters' Rights Act (in force since 1 May 2026) and a Bank Rate stuck at 3.75% all punish buying to hold or buying to redecorate. They reward strategies that create a new asset: an extra bedroom, an extra flat, or planning consent for an extra house. Deal-finding software has split in two. Investor screeners judge listings on price (£4–£250 a month). Land platforms map off-market plots (from about £195 per licence a month, on annual contracts). **No tool found scores an ordinary house for sale for extension, garden-plot or rebuild potential**, which is the gap the founder is targeting, though PropertyData's "Large plot" and "Unbroken freeholds" screens come close. Cambridge suits the idea. Prices are flat, so margin must come from adding value. Houses sell for £5,600–£6,800 per square metre against build costs of about £2,500–£3,000. Garden homes are allowed case by case, and water shortages have stalled the big sites. Garden-plot planning-gain flippers are a defensible first interview slice: they face the largest uplift per deal and the clearest tool gap. But they are few, their deals take 12–24+ months, and they may buy mostly off-market. So define the slice by the job they do, and widen the geography rather than the customer type. Every figure here comes from search-engine summaries rather than the source pages, so re-check key numbers before quoting them externally.

Every figure here came from search summaries, so re-check before quoting

The research team could not open the source pages. Requests to GOV.UK, Hamptons, trade press, vendor sites and council sites were blocked, and the search budget ran out partway through several topics. **Every number in this report therefore comes from search-engine summaries of the cited pages, not from the pages themselves.** Figures repeated by several outlets are probably safe: Hamptons' flip count, the HMRC landlord count and the Bank of England rate decisions. Single-source figures, vendor prices and anything flagged below as conflicting need checking on the primary page before they appear in a pitch deck, an investor email or a public post. Three areas have almost no sourced data: land promoters, cash-buyer firms, and the split of flips by type (cosmetic versus extension versus garden plot). The report says so where it matters rather than filling the gaps from memory. One correction to older material: **Market Financial Solutions, once one of the largest bridging lenders, went into administration in February 2026 and must not be treated as an active lender.**

Landlords number 2.9 million, but flips have halved to 10,570

Individual landlords are leaving while companies and big portfolios consolidate

Landlords are by far the largest investor group. HMRC counted **2.88 million people declaring property income in 2024/25**, down about 30,000 on the year before, with total declared income flat at about £58.9bn ([Mortgage Solutions](#); [GOV.UK](#)). That count includes holiday lets and counts joint owners separately, so it overstates the number of distinct landlord businesses and leaves out companies. The English Private Landlord Survey 2024 shows two very different groups. **45% of landlords own a single property and hold 21% of tenancies, while the 17% with five or more properties hold 49%** ([OpenRent](#); [togetha](#)). The small end is leaving. 31% of landlords plan to shrink their portfolio within two years and 16% plan to sell everything, up from 22% planning cuts in 2021 ([Landlordzone](#)). 38% of single-property landlords told the NRLA they expect to have stopped letting by the end of 2026 ([NRLA](#)).

Growth has come from limited companies, often called SPVs (special purpose vehicles: a company set up only to hold property). **A record 66,587 buy-to-let companies were formed in 2025, taking the active total to 443,272**, nearly five times the 2016 figure ([Hamptons](#)). About three-quarters of new buy-to-let purchases went through a company by 2025, against about 10% in 2016 ([Hamptons](#); [Property Investor Today](#)). That boom has now reversed. **Incorporations fell 8% in January–August 2026 and 22% in August alone**, putting 2026 on course for the first annual fall since 2008. Hamptons' explanation is that the landlords who gain most from incorporating have already done it ([Mortgage Solutions](#); [Landlord Today](#)).

HMOs are a distinct, heavily regulated sub-segment. An HMO (house in multiple occupation) is a home shared by three or more unrelated people who form more than one household and share a kitchen or bathroom. England had **about 473,000 HMOs in 2023/24**. About 131,000 of them needed a mandatory licence and about 93,000 actually held one ([Property Investor News](#)). New licences fell 5.9% in 2024 ([Landlord Today](#)).

Landlord buying and selling flipped in 2026. In January–April, landlords bought **13.3% of homes in Great Britain**, the highest share since 2016, mostly from other landlords ([Hamptons](#)). By June, landlords made 10.2% of purchases while former rentals made up only 9.2% of homes listed for sale, down from 11.3% a year earlier. **That was the first time since 2019 that landlord buying outpaced landlord selling** ([Hamptons](#); [Mortgage Solutions](#)). The trigger was the Renters' Rights Act. A landlord who evicts a tenant in order to sell cannot re-let for 12 months if the sale fails, which makes selling riskier ([Property118](#)). For a value-add buyer, that means fewer tired ex-rental homes coming to market.

Buy-to-let lending remains large: **£40.3bn in 2025, against an outstanding book of £311.6bn across 1.92 million loans** ([The Intermediary](#)). Most of it is remortgaging. Only about 16,800 of roughly 58,000 new buy-to-let loans in Q1 2026 were for purchases ([finder](#)). Purchases fell to 24.2% of applications in Q2 2026 from 29.8% a year earlier ([Property Reporter](#)).

Flipping is a small, shrinking niche that nobody measures by type

Hamptons' analysis of Land Registry data found **10,570 homes resold within 12 months of purchase in England and Wales in 2025, 1.5% of sales**. That is down from 2% in 2024 and from about 21,500 in 2016 ([Mortgage Solutions](#); [The Intermediary](#)). **Average profit per flip fell to £16,390 from £36,500 in 2015**. 73.3% of flips made a gross profit, but only **58.7% were profitable once stamp duty was paid** ([Mortgage Solutions](#); [Landlord Today](#)). The summaries disagree on details that matter. One calls the £16,390 a gross figure and says stamp duty took 71% of gross profit. Another calls it the figure after stamp duty and puts stamp duty at 43% of gross profit, about £12,400. Check Hamptons' release before quoting either. The figures also leave out renovation costs, and they count every quick resale, not just investor refurbishments.

Flipping has moved to cheaper regions. **61% of flips in Q1 2025 were in the Midlands, the North or Wales**, against 50% a decade earlier. In the North East, 4.7% of sales were flips, with average returns of 36.4% and only about £6,000 of stamp duty. In London, returns were expected to fall to about 8% after about £33,000 of stamp duty per flip ([Hamptons](#); [Mortgage Strategy](#)).

No source splits flips by type, so the table below is a taxonomy, not a market sizing. Hamptons' 12-month definition also misses exactly the deals the founder cares most about. Garden-plot and rebuild projects often take longer than a year. BRRR investors (buy, refurbish, refinance, rent: buy a run-down home, improve it, remortgage at the higher value to pull cash back out, then let it) keep the property and never resell. A rough ceiling on value-add buying comes from landlord purchases. Landlords make 10–13% of about 1.1 million UK transactions a year ([Savills](#)), so roughly 110,000–145,000 purchases. An unknown share of those involve significant works.

Flip type	What the investor does	Rough hold (inferred, low evidence)	What a screener has to spot
Cosmetic	New kitchen, bathroom, decoration	4–8 months	Dated condition; asking price below local £/m ² comparables
Heavy refurb	Rewire, replumb, structural repairs	6–12 months	"Requires modernisation", probate or auction stock, condition
Extension	Loft, rear or side extension to add a bedroom or bathroom	9–15 months	Room on the plot; most neighbours already extended; permitted-development limits
Conversion to flats	Split one house into self-contained flats	9–18 months	Large house; flats nearby; planning likelihood
HMO	Convert to a licensed shared house	9–18 months	Bedroom count, size, Article 4 and licensing status
Title split	Split one legal title into several: a block's single freehold into separately sellable flat leases, or a garden severed from the house	Varies	Several units on one title; severable land

Flip type	What the investor does	Rough hold (inferred, low evidence)	What a screener has to spot
Garden-plot planning gain	Win planning consent for a new home in the rear garden (backland) or beside the house (side infill), then sell the house and plot or build	12–24+ months	Deep or wide garden, side access or second road frontage, plot size relative to neighbours, nearby backland precedent
Replacement	Demolish and rebuild bigger, or as two or more homes	18–36 months	Bungalow or small house on a large plot; low site coverage

The two meanings of "title split" come from investor-education and legal guides ([Property Investors Network](#); [Property Master Academy](#)). The hold periods are the research team's inferences, not sourced statistics.

Builders, self-builders, sourcers and promoters share one problem: sites

SME (small and medium-sized) housebuilders have collapsed over three decades. **In 1988 more than 12,000 of them built about 40% of new homes. By 2017 about 2,500 built about 12%** ([The Construction Index](#), citing HBF). That 2017 figure is old, and no current count was found. The Federation of Master Builders' 2025 survey names planning (47%), material costs (41%) and lack of sites (33%) as the top barriers. **60% rate their access to small sites as poor, two-thirds drop sites because of expected Section 106 costs**, and 42% cite access to finance ([FMB](#); [PBC Today](#)). A Section 106 agreement is a legal deal with the council attached to a planning permission, usually requiring affordable homes or cash contributions. The search summary may have merged the 2024 and 2025 FMB surveys, so check those percentages.

Self-builders show the same plot shortage from the buyer's side. **More than 63,000 people were on England's Right to Build registers in April 2023**, and registrations were at a record but levelling off by October 2024 ([NaCSBA](#); [NaCSBA](#)). The best completion proxy is **15,902 single dwellings built in 2019** ([NaCSBA](#)), which is old but suggests plot supply, not demand, is the bottleneck. That makes self-builders the natural buyers of consented garden plots, not the tool's first customers.

Deal sourcers find properties and sell them on to investors for a fee. The research found no reliable count of them. Fees typically run **£2,000–£6,000 or 1–2% of the price**, occasionally up to 5% ([NAPSA](#); [Property Beacon](#)). Legally, sourcing is estate agency work (see the regulation section), and one report found that almost all sourcers breach anti-money-laundering rules ([The Negotiator](#)).

Land promoters are firms that pay for and run planning applications on land they do not own, in return for a share of the sale proceeds. **The research produced no sourced numbers on them.** They work mostly on larger strategic sites rather than individual houses, and their trade body is the LPDF ([LPDF](#)). Cash-buyer and "we buy any house" firms are similarly unmeasured.

Segment	Latest size	Trend 2023–2026	Relevance to a house-screening tool
Individual landlords (UK)	2.88m (2024/25)	Slight fall from 2.91m	Mostly passive holders; low tool usage

Segment	Latest size	Trend 2023–2026	Relevance to a house-screening tool
Landlords with 5+ properties (England)	17% of landlords, 49% of tenancies	Consolidating, buying from exiting landlords	Repeat buyers; value-add possible
Buy-to-let companies	443,272 active; 66,587 formed in 2025	Record 2025, then –8% in 2026	Proxy for "newly serious" investors
HMOs (England)	≈473k, ≈93k licensed (2023/24)	New licences –5.9% in 2024	Conversion demand exposed to Article 4
Landlord purchases (GB)	10–13% of purchases, ≈110k–145k a year	Up in H1 2026, mostly landlord-to-landlord	Large but mostly plain buy-to-let
12-month flips (England and Wales)	10,570 (2025)	Down about half since 2016	Core flippers, squeezed by stamp duty
SME housebuilders	≈2,500 (2017, old)	Long decline	Chronic site shortage
Self-build registrants (England)	63k+ (2023)	Flat	Buyers of consented plots
Deal sourcers, land promoters, cash buyers	Not measured	Unknown	Informants and channels

Five years of tax and tenancy changes reward creating new assets

Stamp duty now costs an investor £15,000–£40,000 per South East purchase

Stamp duty land tax (SDLT, England's tax on property purchases) has moved steadily against investors. **The surcharge on additional homes, including buy-to-let and flips, rose from 3% to 5% from 31 October 2024** ([Simpkins Edwards](#)). Multiple Dwellings Relief, which cut tax on bulk purchases, was abolished from 1 June 2024 ([Moore Barlow](#)). The nil-rate band fell back to £125,000 on 1 April 2025 ([Michelmores](#)). An investor now pays 5% on the first £125,000, 7% up to £250,000 and 10% from there to £925,000. The research team's arithmetic gives **£15,000 on a £250,000 purchase, £30,000 on £400,000 and £40,000 on £500,000**, or 6–8% of the price. Because a flipper pays this on every purchase and has no rental years to spread it over, it explains most of the collapse in flip profits. No sign was found of further stamp-duty changes in the November 2025 Budget, but that could not be confirmed. That Budget did announce a **"mansion" council-tax surcharge on English homes worth over £2m from April 2028** ([Travers Smith](#)).

Section 24 and the 2027 property tax rates keep pushing landlords into companies

Section 24, phased in from 2017, stopped individual landlords from deducting mortgage interest from rental profit and gave them a basic-rate tax credit instead. Companies can still deduct interest in full, which is the main reason new buying moved into SPVs ([Hamptons](#)). The November 2025 Budget widened the gap in some ways and narrowed it in others. **Rental income gets its own tax rates of 22%, 42% and 47% from April 2027**, two points above the normal rates, with the interest credit given at 22% ([NRLA](#); [Evelyn Partners](#)). Dividend tax rose two points from April 2026, to 10.75% and 35.75%, which taxes company owners when they take profit out ([Saffery](#)). The relief for moving a portfolio into a company must now be claimed explicitly, which gives HMRC a chance to challenge it ([PKF Francis Clark](#)).

Other changes pile on. Making Tax Digital (quarterly digital tax reporting) has applied to landlords with more than £50,000 of income since April 2026, and the threshold falls to £30,000 in April 2027 ([Tide](#)). The holiday-let tax regime was abolished in April 2025 ([August](#)). Capital gains tax on residential property stayed at 18% and 24% while the rates on other assets rose to match ([Michelmores](#)). Serial flippers should also know that buying, refurbishing and selling homes repeatedly while claiming main-residence tax relief does not work. Tax Policy Associates said anti-avoidance rules block it when it criticised a prominent property "guru" who promoted the idea ([Tax Policy Associates](#)).

The Renters' Rights Act makes tenanted homes slower to sell

The Renters' Rights Act 2025 received Royal Assent on 27 October 2025 ([UK Parliament](#)). **From 1 May 2026 it abolished "no-fault" Section 21 evictions and fixed-term assured shorthold tenancies.** Every new private let is now an open-ended periodic tenancy, and landlords must prove a specific legal ground to regain possession ([Kennedys](#)). Rent can rise only once a year, with two months' notice ([Goodlord](#)). A landlord who wants to sell or move in must give four months' notice and cannot use that

ground in the first 12 months of a tenancy ([NRLA](#)). Rental bidding wars are banned, and civil penalties reach £40,000 ([GOV.UK](#)). A national landlord database rolls out area by area from late 2026, and a mandatory landlord ombudsman is expected around 2028 ([Ward Hadaway](#)).

Two other rules affect landlords. Since December 2024, councils can impose borough-wide selective licensing without ministerial approval ([GOV.UK General Approval](#)). And **private rentals must reach the equivalent of an EPC C energy rating by 1 October 2030**, with landlord spending capped at £10,000 per property ([Devonshires](#); [PAD Magazine](#)). For a flipper, the combined effect is that tenanted homes are slower and riskier to turn into vacant ones. Homes with poor energy ratings should trade at a discount that a retrofit can capture.

Planning has swung pro-supply, and sites under 10 homes escape the new levies

Since mid-2024, national planning policy has pushed hard for more housing. **The December 2024 NPPF restored mandatory housing targets of about 370,000 homes a year** and created "grey belt", poorer-quality green-belt land that can be released for housing ([The Planner](#)). The NPPF (National Planning Policy Framework) is the government's rulebook that council planning decisions must follow. The Planning and Infrastructure Act received Royal Assent on 18 December 2025. It lets developers pay into strategic nature schemes instead of solving nutrient and protected-species problems site by site ([Browne Jacobson](#)). The **August 2026 NPPF added a "medium site" tier of 10–49 homes** with lighter rules and a standard Section 106 template to follow ([Burgess Salmon](#); [Housing Today](#)).

The details that matter most to garden-plot investors are the site-size thresholds. Biodiversity net gain (BNG) is the requirement that a development leave habitats measurably better than before. **Defra confirmed in April 2026 that BNG will not apply to sites of 0.2 hectares or less**, though sources disagree on whether the exemption took legal effect in April or August ([Burgess Salmon](#); [Indigo Surveys](#)). **The Building Safety Levy starts on 1 October 2026 for schemes of 10 or more homes**. It is a per-m² charge on new homes to pay for cladding repairs. The government dropped a proposed exemption for 10–49-home sites in July 2026 ([Taylor Wessing](#); [National Federation of Builders](#)).

Other costs still land on small schemes. The Future Homes Standard, which effectively requires heat pumps and solar panels on most new homes, applies from 24 March 2027 ([UK Parliament HCWS1445](#)). Planning fees rose on 1 April 2025 and now rise with inflation each April ([Lichfields](#)). The Community Infrastructure Levy (CIL) is a per-m² charge that each council sets on new floorspace. **It applies to any new market home, even a single one, unless a self-builder builds it to live in** ([Huntingdonshire DC](#); [Moore Barlow](#)). Permitted development rights let some work go ahead without a full planning application. Those for converting commercial buildings to homes ("Class MA") were widened, so shops and offices have become flipper and developer stock too ([Boyer](#)). The net effect is that a one-to-nine-home garden, infill or replacement scheme escapes the two newest levies but still pays CIL and faces the build-cost rises from 2027.

Borrowing stays dear with Bank Rate stuck at 3.75%

Bank Rate rose from 0.1% in December 2021 to 5.25% by August 2023. Six cuts then took it to 3.75% on 18 December 2025 ([Fox Davidson](#)). **It has been held at every 2026 meeting. On 16 September 2026 the vote was 6–3, with three members wanting to raise it to 4%** ([Bank of England](#)). Average buy-to-let

mortgage rates peaked at 6.79% in August 2023 ([Which?](#)). Average fixes sat at about 4.9–5.7% in September 2026 ([Knox Mortgages](#)). Cheap borrowing no longer rescues a thin deal.

Date	Change	Status	Who it hits most
1 Jun 2024	Multiple Dwellings Relief abolished	In force	Bulk and portfolio buyers
31 Oct 2024	Stamp-duty surcharge 3% → 5%	In force	Every flipper and landlord
12 Dec 2024	NPPF housing targets, grey belt	In force (updated Aug 2026)	Developers, promoters
1 Apr 2025	Stamp-duty nil band £250k → £125k; planning fees up and indexed	In force	Flippers, landlords, developers
6 Apr 2026	Dividend tax +2 points; incorporation relief must be claimed; Making Tax Digital over £50k	In force	Company and larger landlords
Apr 2026	Biodiversity net gain exemption for sites ≤0.2 ha	Confirmed	Garden-plot and infill schemes (helps)
1 May 2026	Section 21 abolished; periodic tenancies only	In force	Landlords; flippers buying tenanted homes
17 Aug 2026	NPPF "medium sites" (10–49 homes)	In force	SME builders (helps)
1 Oct 2026	Building Safety Levy on schemes of 10+ homes	Starts this week	Developers above 9 units
Late 2026	Private landlord database rollout	Confirmed, date to be set	Landlords
24 Mar 2027	Future Homes Standard	Confirmed	All new-build, self-build
Apr 2027	Property income tax 22/42/47%; Making Tax Digital from £30k	Legislated	Individual landlords
Apr 2028	Council-tax surcharge on £2m+ homes	Announced	Prime owners
1 Oct 2030	Rentals must reach EPC C equivalent (£10k cap)	Confirmed	Landlords of older stock

Brokers, agents and portals gatekeep a crowded value chain

The table groups the named players by the stage of a deal at which an investor meets them. The paragraphs that follow explain which of them matter most to a startup.

Stage	Named players	Why they matter to the founder
Find: portals	Rightmove, Zoopla (Houseful), OnTheMarket (CoStar); PlotBrowser, Plotfinder, BuildStore PlotSearch	Almost all on-market supply; strict data terms
Find: agents	Connells Group (incl. Countrywide, Hamptons), LRG, Lomond, Foxtons, Purplebricks (Strike), Savills, Knight Frank	Keep informal investor lists; off-market gatekeepers
Find: auctions	Essential Information Group (EIG, data and aggregator), Allsop, Auction House UK, Savills Auctions, iamsold, Clive Emson, Pugh, Bond Wolfe, Edward Mellor	Distressed and "needs work" stock
Finance: bridging and specialist	Together, LendInvest, MT Finance, Castle Trust Bank, OSB Group (Precise, Rely), Shawbrook, Octane Capital, Hope Capital, Roma Finance; Market Financial Solutions in administration since Feb 2026	Fund fast purchases and refurbishments
Finance: buy-to-let and development	Paragon, Kensington, Topaz, Hampshire Trust Bank, United Trust Bank; CrowdProperty, CapitalRise, Kuflink, Shojin; Brickflow marketplace	Refinance exits and build-out
Finance: government	Homes England (Levelling Up Home Building Fund, Lending Alliance), British Business Bank (ENABLE Build), National Housing Bank	SME developer finance
Brokers	NACFB members; packagers such as AFIG, Brightstar, Clifton Private Finance, Enness, LDNFinance, UK Property Finance; Spark Finance, Fox Davidson	Distribution gatekeepers; best informants
Professionals	RICS surveyors and valuers, conveyancers, architects (RIBA), planners (RTPI), quantity surveyors, builders (FMB)	Set valuations, timelines, consent odds
Trade bodies and regulators	NRLA, Propertymark, The Property Ombudsman, Property Redress Scheme, HMRC (AML), BDLA, NACFB, HBF, FMB, NaCSBA, LPDF, MHCLG, FCA	Rules and credibility signals
Education and community	Property Hub (<i>The Property Podcast</i>), Progressive Property (PPN), Property Investors Network (pin), Samuel Leeds, Property Tribes, Landlord Investment Show, Property Investor Show	Where new investors form habits
Media	Property Industry Eye, The Negotiator, Estate Agent Today, Letting Agent Today, Property Investor Today, Landlord Today, Property Investor News, Property118, LandlordZone, Your Property Network, Estates Gazette, Property Week, Bridging & Commercial, Mortgage Strategy, Mortgage Solutions, The Intermediary, Online Marketplaces	PR and advertising channels

Rightmove, agents and auctions control what investors see

Rightmove dominates visible supply. It made **£425.1m of revenue in 2025 from about 19,300 advertisers paying an average of £1,621 a month** ([PropertyWire](#); [Online Marketplaces](#)). By its own measure it captured 89% of time spent on UK property portals ([Pine](#)). Zoopla, owned by Silver Lake-

backed Houseful, is second. CoStar bought OnTheMarket for about £99m in December 2023 and pushed it to 15,000 advertisers ([Wikipedia](#); [Online Marketplaces](#)). The founder's biggest practical risk sits here.

Rightmove's terms ban automated access, and its data feed is open only to member agents

([Actowiz](#), quoting [Rightmove's terms](#)). A tool built on scraped portal data carries legal and continuity risk.

Plot portals are small but relevant. PlotBrowser, run by *Build It* magazine, lists only plots that already have planning permission ([PlotBrowser](#)). Plotfinder charges about £5 a month for 13,500+ plots and renovation opportunities ([Design for Me](#)).

Estate agency is fragmented but consolidating. **Connells Group, owned by Skipton Building Society, has 1,200+ branches and about 10% of the market.** It swung to a £0.5m loss in H1 2026 ([Connells](#); [PropertyWire](#)). Private-equity roll-ups such as Lomond, which made its sixth London acquisition of 2025 in October, are buying independents ([Estate Agent Today](#)). Purplebricks' owner Strike flagged a going-concern warning ([The Negotiator](#)).

Auctions are small in volume but matter disproportionately to flippers. **EIG counted a record 41,628 lots offered and 28,975 sold in 2025, raising £5.9bn** ([BeBeez](#), citing [EIG](#)). In a Savills survey of auction buyers of unclear date, investors were the largest group (25%), 68% paid cash and 33% planned to refurbish or redevelop ([Savills](#)). Allsop calls itself the largest auction house by value, having raised £1bn in 2024 ([Allsop](#)). iamsold runs the "modern method of auction", a conditional online sale in which the buyer pays a non-refundable reservation fee, quoted at about 4.2% ([YourPropertyCheck](#)). Critics call that model opaque ([Today's Wills and Probate](#)).

Specialist lenders fund the deals, and one collapsed in 2026

Bridging is the flipper's default finance. A bridging loan is a short-term loan (months, not years), priced per month, used to buy fast or to buy a property a normal mortgage lender will not touch. It is repaid by selling or refinancing. **The Bridging & Development Lenders Association (BDLA, formerly ASTL) reported £1.6bn of completions in Q2 2026, down 15.2% on the quarter, and applications down 26.3%** ([The Intermediary](#)). The broker-compiled Bridging Trends index, run by lender MT Finance, recorded £811m in 2025 at an average rate of about 0.81% a month in Q2 2026. Buying an investment property was the single most common use of the loans ([Mortgage Strategy](#); [MT Finance](#)). The largest active lender is **Together**, with a record £8.5bn loan book and £223m of profit ([The Intermediary](#)). **LendInvest** lent a record £1.23bn in the year to March 2025 ([Mortgage Solutions](#)). **OSB Group** closed Kent Reliance for Intermediaries to new lending and split its business between Rely for buy-to-let and Precise for bridging ([Property118](#)). **Castle Trust Bank, Shawbrook** and **Octane Capital** are also active ([Castle Trust](#); [Shawbrook](#); [Octane](#)).

Market Financial Solutions, which had reported a £2.4bn loan book, entered administration on 25 February 2026 amid allegations that it pledged the same collateral to several funders. Creditors warned of a shortfall of about £930m ([Bloomberg](#); [CMS](#)). Expect brokers to be more cautious about lender risk as a result.

On the buy-to-let side, **Paragon** (£16.3bn net loan book) focuses on portfolio landlords, and specialists such as Kensington and Topaz gained share in 2025 ([Paragon RNS](#); [IFA Magazine](#)). Development finance for small builders comes from challenger banks such as Hampshire Trust Bank and United Trust Bank

([Commercial Trust](#)). Crowdfunding platforms such as CrowdProperty, CapitalRise, Kuflink and Shojin also lend ([CrowdInform](#)).

Homes England's Levelling Up Home Building Fund lends to SME builders on schemes of 5 to 100+ homes. It gained **£700m in December 2024 to support up to 12,000 homes** ([GOV.UK](#); [NaCSBA](#)). Its Lending Alliance offers loans of up to £4m, capped at **70% of GDV** (gross development value: what the finished homes would sell for) and at **85% loan-to-cost** (the share of total project costs the lender will fund) ([Designing Buildings](#)).

Brokers decide which lender sees a deal

About 89% of UK mortgages went through intermediaries in 2025, forecast to rise to 91% in 2026 ([Mortgage Solutions](#), citing IMLA). Most bridging and development lenders do not deal with borrowers directly. The National Association of Commercial Finance Brokers has **1,414 member firms and 3,011 individual brokers** ([NACFB](#)). Specialist "packagers", firms that assemble complex cases between brokers and lenders, supply the Bridging Trends data. For the founder, brokers are the best informants in the market: a development-finance broker in Cambridge probably knows most of the active garden-plot investors, because most of them borrow.

Professionals, trade bodies and regulators set the rules of each step

Five kinds of professional shape a deal. RICS surveyors and valuers matter most: RICS has about 113,000 members worldwide ([RICS](#)), and the lender's panel valuer sets both the size of the loan and the value at the refinance exit. Conveyancers control how fast a transaction completes. Architects and planning consultants decide how a scheme is designed and argued; the RTPI alone has about 27,000 planners ([Wikipedia](#)). Builders, whose trade body is the FMB, decide the real cost.

Estate agency is lightly regulated. Anyone doing "estate agency work", **deal sourcers included**, must register with HMRC for anti-money-laundering (AML) supervision before trading, join a government-approved redress scheme (The Property Ombudsman or the Property Redress Scheme, which handle consumer complaints) and register with the Information Commissioner's Office ([August](#); [PropSourcer](#)). Trading without AML registration is a criminal offence ([HMRC AMLG2200](#)). If the startup ever introduced buyers to sellers for a fee, it would itself become a regulated estate agency business.

The main trade bodies are the NRLA (landlords, 100,000+ members) ([NRLA](#)) and Propertymark (agents, 18,711 members at the end of 2025) ([Propertymark](#)). The others are the BDLA and NACFB for lenders and brokers, the HBF and FMB for builders, NaCSBA for self-builders and the LPDF for promoters. MHCLG (the housing ministry) sets planning and rental policy.

Education businesses and trade media shape investor habits

A large, unregulated training industry sits around all of this. At the trusted end, **Property Hub's The Property Podcast reports 100,000+ downloads a month** ([Property Hub](#)). Progressive Property's network runs monthly meetings in about 50 UK locations ([Progressive](#)). At the controversial end, Samuel Leeds charges up to £12,000 for a year of coaching, and Tax Policy Associates publicly called his tax claims wrong in January 2026 ([Tax Policy Associates](#)). Critics say parts of the sector push students into in-house sourcing, finance and investment products ([LandlordZone](#)). The FCA does not regulate property

training ([FCA](#)). For the founder, these communities are a distribution channel with reputational risk. They also produce many *aspiring* garden-plot and title-split investors, people who have taken the course but not done a deal, who will distort interviews if they are not screened out. Trade media splits into agent titles (Property Industry Eye, The Negotiator), investor titles (Property Investor Today, Landlord Today, Property118, Your Property Network) and finance titles (Bridging & Commercial, Mortgage Strategy, The Intermediary) ([Property Industry Eye](#); [The Negotiator](#); [Bridging & Commercial](#)).

Only strategies that create a new asset still clear a 20% margin

Stamp duty and bridging add about £31,000 of friction to a £250,000 flip

Lenders set the benchmark. **A development must show at least 20% profit on GDV**, 15% if the homes are pre-sold, and "below 15% is a red flag for almost every lender" ([Construction Capital](#); [Construction Capital](#)). Working backwards from that target gives the residual land value, which is what a developer can afford to pay for the land: GDV, minus build, fees, finance and sales costs, minus a 20% profit margin ([LandTech](#)). Flippers use rougher rules of thumb. One guide says to walk away unless the deal shows a **20–25% gross margin** at purchase, and to expect overruns of **10–30%** on time and budget ([Property Accelerator](#)). The US "70% rule" caps the price at 70% of the after-repair value (ARV, what the property will be worth once improved) minus the cost of the works ([PropAI Deals](#)).

The cost stack explains why the rules are so demanding. Bridging averages about **0.82% a month**: 0.55–0.65% for low-risk loans and 0.75–1.0% at 70% loan-to-value (the loan as a share of the property's value), plus 3–5% in fees ([Spark Finance](#); [Westminster Finance](#)). First-time developers pay 1.0–1.5% a month for heavy-refurbishment bridging ([FD Commercial](#)). Development finance costs 0.65–0.90% a month for established builders. First-timers are capped at about 85% loan-to-cost and 65% loan-to-GDV ([Fox Davidson](#)).

The research team's worked example is a £250,000 cosmetic flip held for eight months on a 70% bridge. Stamp duty is about £15,000 and finance costs £15,000–£17,000. That puts **about £31,000 of friction on the deal before any building work, agent fees or legal fees**, which is why cosmetic flips in the South East rarely clear the margin rules. South East build costs make adding space expensive too: about **£2,200–£3,000/m²** for a mid-range single-storey extension ([BestBuilders](#)) and **£2,500–£3,000/m²** for an average self-built home ([Build It](#)).

Strategy by strategy, the margin has moved from the kitchen to the land

Strategy	Where the money comes from	Key benchmark numbers	Main risks
Cosmetic flip	Buying below value, light works	Average flip profit £16,390; 58.7% profitable after stamp duty	Stamp duty, competition, overruns
Heavy refurb flip	Discount on distressed stock	Bridging 0.2–0.4 points a month dearer than light refurb	Builder shortages, overruns, valuation
Extension flip	Extra bedroom or bathroom	2 → 3 beds adds ~13%, 3 → 4 ~10%, bedroom plus bathroom up to 24%	Build cost ≈ uplift in the South East
House to flats	More units, higher total value or rent	Conversion ~£1,500–£2,000/m ² where the shell is sound	Planning, building regulations
HMO	Rent per room	£8k–£15k per room to convert (Manchester); Article 4 adds 8–13 weeks	Licensing, Article 4, fire safety
BRRR	Refinance pulls cash back out	All cash out if post-works value ≥ ~133% of all-in cost	Down-valuation at refinance

Strategy	Where the money comes from	Key benchmark numbers	Main risks
Garden plot / title split	Planning consent creates a new asset	Consent lifts land value ~2.5–6x	Refusal, delay, CIL, access
Replacement dwelling	Bigger or more homes on the same land	Always needs full permission; can be VAT-advantaged vs renovation	Green belt size limits, cost
Small new-build (1–10 homes)	Developer margin	20% on GDV target	Planning, S106, finance, build cost
Standard buy-to-let	Rent and long-run growth	South East gross yield ~5.6–6.1% vs fixes of ~4.9–5.7%	Fails lender rent tests at 75% LTV

Sources for the table: [Mortgage Solutions](#); [FD Commercial](#); [The Intermediary](#), citing [Nationwide](#); [Extension Architecture](#); [renovat.co.uk](#); [HMO Checker](#); [Estatefy](#); [LivedIn](#); [Build It](#); [Elizabeth Homes](#); [MoneyMeister](#); [Knox Mortgages](#).

The table shows a clear ranking. The cosmetic flip is structurally squeezed. The extension flip is surprisingly marginal in the South East. On a £450,000 three-bed, a fourth bedroom adds about £45,000, roughly the cost of a 20m² extension at £2,200–£3,000/m². So **extension flips depend on buying below value or adding a bedroom and a bathroom**, the case where Nationwide saw up to 24% ([The Intermediary](#)).

Plain buy-to-let fails lenders' rent tests. Lenders require rent to cover a stressed interest bill, an interest coverage ratio (ICR), of 125% for companies and 145% for higher-rate individuals, at about 5.5% ([Property Tax Partners](#)). At 75% LTV that needs gross yields of about 5.2% and 6.0% respectively, just above or just below the South East's 5.6–6.1%. That is why landlords chase HMOs, flats and BRRR. The BRRR arithmetic is simple. A 75% refinance returns all the cash only if the finished value is at least $1 \div 0.75 \approx 133\%$ of everything spent, and the 5% surcharge has made that bar harder to clear.

The strategies that create a new legal asset, a consented plot or an extra dwelling, carry the largest uplift relative to the fixed friction of stamp duty. **Planning permission typically multiplies land value 2.5–6 times, with the high end in London and the South East** ([LivedIn](#); [Approved Planning](#)). That uplift has to be discounted for how slow and uncertain planning is. **Only 38–42% of minor applications in England were decided within the statutory 8 weeks in 2025–26**, and 87–88% were decided within 8 weeks or an agreed extension ([GOV.UK](#)). Backland schemes are most often refused on access, overlooking and character. Refusals are sometimes overturned on appeal, as at West Mersea in Colchester ([Planning House](#); [ADP](#)). A title-split case study in *Your Property Network* reported about £260,000 of uplift from about £41,000 of works, but it is a single self-reported example ([YPN](#)). No end-to-end sourced worked example exists for a house-to-flats conversion, a replacement dwelling or a small South East scheme. That gap is worth filling in interviews.

The best deals come off-market, and screening time is the hidden cost

Each segment leans on a different channel

Rightmove's dominance means portal deals are the most contested ([Substack analysis](#)). Experienced buyers work around it in three ways.

Agents' "first-call" lists. Independent agents phone a short list of trusted investors before, or instead of, listing a property. Getting onto that list takes **6–18 months of reliable buying**. Agents reward investors who view fast, offer fast and never renegotiate after the survey ([Galim AI](#); [Your Property Network](#)).

Auctions. They are liquid but competitive. In 2026 the national success rate was 67.2%, and lots sold under the hammer averaged **23.5% above the guide price** in one data set. First for Auctions reported 22.9% above reserve in Q2 2026 ([Savills](#); [First for Auctions](#)).

Direct-to-vendor (DTV) letters. Investors write to owners of promising properties that are not for sale. Tool vendors claim response rates of about **1–5%**, rising to 8–15 replies per 100 tightly targeted sites. Landowners "have received dozens of near identical letters over the years" ([PropertyData](#); [LandTech](#)). Nimbus, Searchland and PropertyEngine all send letters from inside their platforms ([Nimbus](#); [Searchland](#)).

Less experienced or remote investors buy packaged deals from sourcers. Property Tribes members discuss fee models such as "1% of the price or 20% of the saving" ([Property Tribes](#)). No survey was found that measures what share of deals comes through each channel for any segment. The mapping below is the research team's inference from the cited channel evidence.

Segment	Main deal channels (inferred)	Sharpest pain points
Cosmetic and heavy-refurb flippers	Portal alerts (reduced, long-listed, "cash buyers only"), agent first-call lists, auctions	Stamp duty eats the margin; auction premiums; speed
Extension flippers	Portals and agents, filtered by plot size	Judging permitted development and planning quickly; build cost ≈ uplift
BRRR investors	Auctions with bridging, agents, sourcers (often remote)	Refinance valuation; rent tests
HMO and flat converters	Agents, auctions, sourcers, targeted letters	Article 4, licensing, fire-safety costs
Garden-plot, title-split and replacement investors; small developers	Land platforms, DTV letters, land agents, plot listings	Planning delay and refusal risk; CIL and S106; finding sites at all
Standard buy-to-let	Portals, agents, new-build investor sales, sourcers	Yield versus mortgage rates; new tenancy rules

Pain points cluster around margin, speed, trust and planning

The recurring frustrations are well evidenced even without first-hand forum quotes, which could not be retrieved. **Margin compression** leads: a Landlord Today headline in April 2026 read "You can't make money from flipping any more" ([Landlord Today](#)). **Trust in sourced deals** is low. Property Tribes thread titles include "Property sourcers aren't selling deals that are really 30% BMV!", where BMV means below market value ([Property Tribes](#)). **Builder availability** is the next pain. Nearly half of SME building firms report jobs delayed by skills shortages ([FMB State of Trade H2 2025](#)). **Planning delay and uncertainty** top the list for small builders (47%), and over a third say it is getting worse ([FMB](#)). Two pain points are inferred rather than measured. The first is **screening time**: most listings fail the margin rules once stamp duty and finance are counted, yet agents reward speed, so filtering becomes a high-volume, time-pressured chore. The second is **unreliable listing information** on floor area, tenure and planning history. No survey quantifies hours spent screening. That is a question the founder's interviews can answer directly, and the answer largely determines whether a screener saves enough time to be worth paying for.

Rival tools price-screen houses or map land, but none scores the plot

Two clusters, with a missing middle between £50 and £195 a month

The competitive landscape splits cleanly. **Investor tools screen on-market listings on price signals** such as below-market value, price reductions, fall-throughs and yield. They cost about £4–£250 a month on rolling terms. **Land platforms map off-market titles, ownership, planning and constraints.** They cost from about £195 per licence a month, usually on annual contracts or by quote. Few tools bridge the two, and that leaves a gap between about £50 and £195 a month. Property Filter charges within that band, but a review written by a competitor argues it earns its price through coaching and community rather than development analytics ([PropDetect review](#)). No self-serve monthly tool in the band was found offering the land platforms' plot, title and planning intelligence.

Tool	Built for	Price seen (Sept 2026 snippets)	Closest overlap with the founder's idea
PropertyData	Investors, sourcers; pitching into land	From £14/month; API £28–£1,300/month	~40 daily listing screens incl. "Large plot" (~2,056 live) and "Unbroken freeholds" for title splits (~2,555); Plot Map
Property Filter	Investors and sourcers, with coaching	£100 / £150 / £250 a month	Motivated-seller signals plus DTV letters
PropertyEngine	Sourcers and packagers	Free starter; paid tiers (prices not visible)	Portal alerts within ~10 minutes
PaTma Prospector	Landlords, small investors	£4 / £15 / £32.50 a month	Area alerts for new listings <i>and</i> planning applications
PropDetect	Investors	£7.99 / £50 / £120 a month	Room-by-room refurb costing, 7 exit scenarios on Rightmove listings
PropMarker	Investors, trainers	Not visible	Reads floorplans for extra-bedroom, HMO, conversion potential
PropDealAI	BRRR, HMO, flip investors	Not found	1–100 deal score; 70% rule
Housemetric	Investors, buyers	Free; ~£10/month premium	£/m² by sector; freehold boundaries
Searchland	Land teams, SME developers	From £195/licence/month; 12-month minimum	Title, ownership, planning, permitted-development search, AI assistant
LandTech (LandInsight)	Developers, land agents	UK price not visible (US from \$200/month)	Site sourcing; AI triage with citations
Nimbus Maps	Developers, agents	Quote only	Off-market sites; Brickflow finance link
Landstack	Developers, promoters	Lite free; Pro on request	Planning, ownership, local plan data
LandHunt	Sourcers, SME developers	"From £19" or "from £49" (conflicting)	AI scores planning approval odds for land parcels

Tool	Built for	Price seen (Sept 2026 snippets)	Closest overlap with the founder's idea
SiteLens	Trades, small developers	Free / £39 / £99 a month	Classifies planning applications from 380+ councils

Sources: [PropertyData](#); [PropertyData source-on-market](#); [PropertyData Plot Map](#); [Property Filter](#); [PropertyEngine](#); [PaTma](#); [PropDetect](#); [PropMarker](#); [PropDealAI](#); [Housemetric](#); [Searchland](#); [LandTech US](#); [Nimbus](#); [Landstack](#); [LandHunt](#); [SiteLens](#).

Comparison blogs sum up the incumbents as "PropertyData wins on analysis, PropertyEngine on speed, and Property Filter on finding motivated sellers". Most professionals combine a data tool with a pipeline tool ([August](#)), a stack costing roughly £30–£280 a month. Capital in the niche is modest. **LandTech** is the only heavily funded player, with about \$61m raised including a €49.4m Series A in 2021, and it claims "over 5,000 UK developers" as customers ([Tracxn](#); [EU-Startups](#); [LandTech](#)). **Searchland** reached about 1,000 business customers on a £2.3m seed round ([Searchland](#); [UKTN](#)). **Nimbus** appears to be bootstrapped, with an unverified estimate of \$3.4m in annual recurring revenue ([Getlatka](#)). Review sites show where incumbents are weak. LandTech users complain about renewal pricing, PropertyData users about rate limits and charges after a free trial, and Property Filter's 4.9/5 rating carries a Trustpilot flag about how it collects reviews ([Trustpilot LandTech](#); [Trustpilot PropertyData](#); [Trustpilot Property Filter](#)).

The price data reveal what investors actually value. **A single sourced deal at 2% on a £250,000 property costs £5,000, about two years of Searchland.** Buyers pay far more for a qualified, actionable deal than for a year of raw data.

Nobody yet turns a listing into an extension, plot or rebuild score

The explicit "development potential" features that exist are coarse. PropertyData's "Large plot" and "Unbroken freeholds" are category screens, not modelled scores, and the snippets do not show whether "large" is measured against the neighbours ([PropertyData](#)). PropMarker detects *internal* potential (an extra bedroom, HMO or conversion) from floorplans, not garden or extension potential ([PropMarker](#)). Searchland's permitted-development tool targets commercial-to-residential land and found 27,599 eligible Class MA sites ([Searchland](#)). LandHunt scores planning odds for land parcels, not houses for sale ([LandHunt](#)).

No tool was found that computes, for a house on the market, how far it could be extended, whether its garden could be split off as a plot with access, how its plot compares with the neighbours', or which neighbours won approval for what. None was found that values the finished project from sold prices of neighbours who have *already* done the works. That is the white space. It rests on search snippets, so it is absence of evidence rather than proof. Hands-on trials of PropertyData's Plot Map, PropMarker, LandHunt and Searchland's AI assistant should confirm it before it appears in investor materials.

Imagery is not a solved input. **Viability (formerly Hesti), the only UK startup found combining AI with aerial imagery for SME developers, tried satellite imagery first and found the quality insufficient.** It switched to high-resolution aerial imagery from Bluesky and raised £535,000 ([Bluesky](#); [Geovation](#)).

Garden-level mapping is feasible at national scale: the RHS and Gentian mapped 25.8 million British gardens from satellite data ([Countryside Jobs](#)). Land Registry's free INSPIRE polygons give indicative freehold boundaries ([BuyLand](#)).

The nearest threats are PropertyData and AI land tools moving down-market

PropertyData is the most likely fast follower. It is cheap, it has the broadest data, it already runs plot and title-split screens, and it publishes pages pitching itself as an alternative to LandInsight and Nimbus ([PropertyData](#)). LandHunt and Searchland are pushing AI planning analysis toward smaller buyers. Government is also lowering everyone's data costs. MHCLG's Extract tool turns historic planning documents into structured data and has been trialled in 20+ councils. An AI prototype for householder decisions such as extensions and lofts is being tested in Barnet, Camden and Dorset ([GOV.UK](#); [MHCLG Digital](#)). Cheaper planning precedent data helps the startup build, and helps rivals copy. The durable edge therefore has to be the quality of the judgement ("this plot will pencil out, this one will not"), not access to the data.

Cambridge pairs flat prices with £5,600–£6,800 per square metre

A flat market means margin must come from the value-add

Cambridge city prices have gone sideways since the 2022 peak. **The ONS/Land Registry average was £475,000 in July 2026, unchanged on a year earlier.** Semis rose 1.3% and flats fell 2.3% (ONS), after a 2.5% fall in the year to December 2025. Cheffins calls 2026 "broadly flat pricing" after a period of adjustment (Cheffins). Sector-level prices vary sharply (Housemetric CB1 1; Housemetric CB4 1; Housemetric CB1 8). A postcode sector such as CB1 1 is one step finer than a district such as CB1:

Postcode sector	Median price per m²
CB1 1	£6,770
CB1 2	£6,750
CB4 1	£5,760
CB1 8	£5,570

District averages would therefore mislead a screener, which needs sector-level or street-level comparables. Homes take about 13 weeks to go under offer, and the market is described as balanced (Home.co.uk). With no market growth to ride, **a CB1–CB5 flip has to make its margin from the works or the planning.** With houses selling at £5,600–£6,800/m² and build costs of £2,500–£3,000/m², each new square metre is worth roughly twice what it costs to build. That ratio is far better than in cheap regions, but Cambridge also carries much higher stamp duty per deal.

Rents are high but yields thin, and small-HMO rules are about to tighten

Cambridge is Cambridgeshire's most expensive place to rent. **The average rent was £1,805 a month in August 2026, up only 1.8% (ONS).** Against a £475,000 average price that is about 4.6% gross. Portal estimates put yields across city postcodes at 3.1–4.7% (PropertyInvestmentsUK). Bidwells reports investor yields at a decade high of 5.0–5.1% as landlords sell ahead of the Renters' Rights Act (Bidwells Spring 2026; Bidwells Autumn 2025). The private-rented share of households rose from 26.2% in 2011 to 31.4% in 2021 (Cambridge City Council). Plain buy-to-let in Cambridge is thin, which pushes landlords toward value-add too.

HMO conversion looks like the wrong beachhead here. A small HMO has 3–6 occupants. Turning a family home (planning "use class C3") into a small HMO (class C4) currently needs no planning permission. Only large HMOs of 7+ people ("sui generis", a use class of its own) do. Mandatory licensing applies from five occupants, with a £1,133 fee (Cambridge City Council ePetition; Belvoir). A petition led to a full council debate on 16 July 2026, where **councillors agreed across parties to pursue an Article 4 direction on small HMOs**, with a cabinet report due this autumn (Cambridge Independent). An Article 4 direction withdraws a permitted-development right in a defined area, so a planning application becomes necessary. A Belvoir guide claims Article 4 areas already exist, but the council coverage contradicts it, and the council is the better source.

Policy 52 allows garden homes case by case, and the rules will not change soon

Garden-plot schemes in the city are tested against **Cambridge Local Plan 2018 Policy 52**. It allows development on gardens, or subdivision of an existing plot, "only where" specific criteria are met ([Cambridge Local Plan 2018](#)). The council's report on 5 Hinton Avenue (23/02094/FUL) shows it being applied in practice ([Cambridge committee report](#)). The full criteria could not be retrieved and should be read directly. The emerging Greater Cambridge Local Plan carries the approach forward almost unchanged as **Policy H/GL**. That policy weighs harm to local character, how much garden is left, trees, heritage and biodiversity, and it blocks schemes that would prevent neighbouring land being developed later ([GCSP Policy H/GL](#)). The plan is at its final stage. Its Regulation 19 consultation, the last round before it goes to a government inspector, ran from 3 August to 25 September 2026. Submission is due by the end of December 2026 and examination is expected in early 2027 ([GCSP](#)).

The policy continuity is useful for the startup. **Recent Policy 52 decisions are a good guide to how garden-plot applications will be judged for years**, so a backtest on 2021–2025 decisions stays relevant. Cambridge has **17–18 conservation areas**, where heritage tests are stricter and some permitted-development rights are reduced ([Greater Cambridge Shared Planning](#); [Inclume Architects](#)). Conservation-area status should be a hard layer in the screener. Applications go through the Greater Cambridge Shared Planning portal ([GCSP applications](#)). No current data on its performance, or on approval rates for garden dwellings, was found.

Water shortages stall big sites, leaving the near-term market to small ones

Water is Cambridge's defining development constraint. **The Environment Agency withdrew support for plans for about 9,000 homes and a cancer hospital because there is not enough water**, as raised in a Commons debate in December 2025 ([Hansard](#)). Waterbeach new town (4,500 homes) was unblocked with conditions in November 2024 ([South Cambridgeshire DC](#)). Anglian Water has lodged holding objections over sewage-treatment capacity at the Cambridge Water Recycling Centre ([Cambridge JDMC report](#)). Relief depends on a Grafham Water transfer of 26 million litres a day by 2032 ([Cam Valley Forum](#)), the Fens Reservoir in the mid-to-late 2030s ([Cambridge Water](#)) and a government "water credits" offsetting scheme that is still being designed ([Cambridge Independent](#)). The objections found concern major schemes. **Their effect on one-to-four-home garden schemes is not established**. Expect tighter water-efficiency conditions rather than outright blocks, but check this with local planning consultants.

Government ambition runs in the opposite direction. The **Greater Cambridge Development Corporation came into being on 23 July 2026**, chaired by Peter Freeman, to "unlock stalled and derelict land". Plan-making powers and decisions on *major* applications are due to follow by statutory instrument later in 2026 ([GOV.UK](#); [Planning Resource](#)). Minor applications such as garden plots would appear to stay with the councils. Government has also named **"gentle density"** as a core principle for Cambridge ([MHCLG](#)), which in time could favour suburban intensification. The big sites are slow. **Cambridge East**, planned for 10,000+ homes, delivers its first phase of up to 500 homes from 2029 ([GOV.UK](#)). **North East Cambridge**, planned for 8,300+ homes, lost its Housing Infrastructure Fund money in August 2025 ([Cambridge City Council](#)). For small-site investors, this means **a medium-term demand tailwind with little new-build competition before the 2030s**.

What a Cambridge garden plot might be worth: rough arithmetic

The research team's illustration uses stated assumptions, not sourced plot prices. Take one new 100m² house in a CB4-type location, valued at the CB4 1 median of £5,760/m², for a GDV of about **£576,000**. Building it at £2,500–£3,000/m² costs **£250,000–£300,000**. Professional fees and contingency at 10% of build cost each add **£50,000–£60,000**. A 20% developer profit on GDV is **about £115,000**, finance **£20,000–£30,000**, and sales costs of about 2% **about £12,000**. That leaves a residual plot value of roughly **£60,000–£130,000, before CIL, planning costs and any water measures**. The same house at CB1 1 prices (£6,770/m²) gives roughly £140,000–£210,000.

Now look at the purchase side. An investor buying an average £475,000 Cambridge house pays about **£37,500 in stamp duty**, against about £13,750 for someone buying it as their only home. Bridging 70% of the price for a year at 0.82% a month costs about another £33,000 in interest. The removed garden also costs the host house some value, but no source quantifies how much.

The conclusion is uncomfortable. **Buying an average Cambridge house at full price, winning consent for one garden home and selling the plot roughly breaks even. It works when the plot is larger, the sector pricier, the house bought below value, or the investor builds the home and keeps the developer margin.** It also works when the plot is sold to a self-builder. Self-builders need no profit margin and are exempt from CIL, which plausibly explains why typical plot prices outside the costliest regions run at £150,000–£250,000 ([Homebuilding & Renovating](#)), above a developer's residual. For the product, this means that **a screener which flags "big garden" is not enough. It has to estimate net uplift after investor stamp duty, CIL and refusal risk.** Its most valuable output will often be a credible "no".

The local ecosystem: who publishes, who to call

Bidwells (quarterly Cambridge rental reports) and Cheffins (the 2026 Cambridge market guide) are the two local firms producing regular, citable data ([Bidwells](#); [Cheffins](#)). Carter Jonas has briefed on the development corporation ([Carter Jonas](#)). Belvoir, Fitch & Fitch (a mortgage broker) and Morris Armitage publish landlord guides ([Fitch & Fitch](#); [Morris Armitage](#)). Mark Williamson's Substack covers HMO and water politics ([Substack](#)). The research could not verify anything about Savills Cambridge, Hockeys, Pocock+Shaw, Redmayne Arnold & Harris, Tucker Gardner, Cheffins' auctions, local self-build register numbers, or whether pin or Progressive meetups run in Cambridge. Those are leads to check by phone, not facts.

Keep planning gain, but define it by the job and widen the map

How the candidate beachheads compare

Candidate first customer	Size signal	Tool gap today	Money at stake per deal	Deal frequency	Cambridge fit	Verdict
Garden-plot planning-gain investors	Unmeasured; overlaps small flippers and micro-builders	Widest: nobody scores plots on listings	Consent lifts land 2.5–6x; land tools already charge £195+/month	Low (12–24+ month deals)	Strong: high £/m ² , Policy 52 "yes, if", sub-10-home levy exemptions	Best first slice, defined by the job
Micro-developers (1–9 homes) doing infill or replacement	~2,500 SME builders (2017); 33% lack sites	Wide for on-market houses	20% on GDV; pay for land platforms	Low to medium	Strong	Same job; fold into the slice
Extension flippers	Larger (part of 10,570 flips)	Wide: no extension-potential score	Uplift ≈ build cost in the South East	Medium	Moderate: conservation areas limit PD	Best second segment
HMO converters	~473k HMOs in England	Partial (Article 4 layers exist)	Yield-driven	Medium	Weak: small-HMO Article 4 coming	Avoid in Cambridge
BRRR and value-add landlords	110k–145k landlord purchases a year	Partial (PropDetect, PropDealAI)	Modest	Medium to high	Weak: yields 3–5%	Later, and in cheaper regions
Deal sourcers	No count; heavy tool users	Partial	£2–6k fee per deal	High	Weak	Informants and a channel, not the first customer
Self-builders	63k+ registrants; ~15.9k completions (2019)	Plot listings exist	One-off, low software spend	One-off	Moderate	Exit buyers for consented plots
Land promoters	Unmeasured	Served by land platforms	High, but larger sites	Low	Strategic sites, not houses	Out of scope

The founder's instinct holds up on the evidence. Garden-plot planning gain is where the uplift per deal is largest relative to stamp duty, where 2026 policy is most favourable (the BNG exemption for sites of 0.2 ha or less, and the Building Safety Levy only from 10 homes), where Cambridge's price per m² makes new floorspace most valuable, and where incumbent tools leave the clearest gap. The weaknesses are just as clear. The group is small, deals are slow and infrequent, and the evidence suggests these investors find sites mostly off-market through letters, land agents and land platforms. That last point matters most, because it threatens a tool that screens *on-market* listings.

Define the customer by what they did, not what they call themselves

To keep every interview with the same customer type without starving the pipeline, define the type by the job the tool does: **someone who, in the last three years, bought an existing house and applied for planning permission for at least one additional home on its land (rear garden, side plot, or demolition and rebuild as two or more homes), with their own money at risk and the decision theirs to make.** Whether they then sold the plot, sold the house with consent, or built the home themselves is a variable to record, not a filter. The screening job is identical in each case, and the choice of exit is often made after consent. That definition deliberately merges "planning-gain flippers" and "micro-developers doing garden infill", which the evidence suggests are the same people at different moments. It excludes aspiring investors who have taken a course but done no deal. It treats deal sourcers, architects, planning consultants and brokers as informants, and homeowners selling part of their garden as sellers. It leaves out self-builders replacing one home with one home, whose job is different.

Hold the customer type fixed and widen the geography

No count exists of garden-plot applications in CB1–CB5. The local pool may be a few dozen active people, not hundreds, so size it before recruiting. Search the planning portal for applications to build a new home in a garden, 2021–2025. Then cross-check each applicant against Land Registry price-paid records: a purchase less than about two years before applying points to an investor rather than a long-standing owner. If the pool is thin, **keep the customer type constant and widen the map.** Start with South Cambridgeshire villages, then comparable high-value towns under similar criteria-based garden policies. Do not dilute the slice with landlords or cosmetic flippers.

Recruiting routes follow from the value chain. Committee reports on Policy 52 applications name applicants and their agents, and the architects and planning consultants who submit garden schemes know their clients. Development-finance and bridging brokers (NACFB members and packagers) have funded every active investor. Every plot on PlotBrowser already has consent, and the seller is often the person who obtained it. Companies House property SPVs named after streets are often single-deal vehicles. FMB members and local investor meetups, once their existence is confirmed, round out the list.

What the first interviews must learn

Five questions matter most. The first is existential: **what share of their last deals did they buy on the open market**, rather than through letters, agents' first-call lists or land agents? If the answer is "almost none", the product becomes a tool for choosing which owners to approach, a different product that competes head-on with Searchland and Nimbus. The second is **how they screen today and how many hours it takes**, including which tools they already pay for; PropertyData's Large plot screen is the benchmark to beat. The third is **how they value a plot**, including stamp duty, CIL and refusal risk, and which single fact most often kills a deal: access width, trees, conservation area or neighbours. The fourth is **how many deals they do a year and how they would prefer to pay**. Per-deal value dwarfs subscription value in this market (£3,000–£6,000 sourcing fees against £170–£3,000 a year for software), so test per-report and success-fee pricing alongside a monthly plan. The fifth is **what they got wrong on their last deal**, which gives the product its failure cases and the backtest its hardest examples.

Risks that could sink the beachhead

The biggest risk is a **small, slow market**. A customer who does one deal a year gives thin feedback and little recurring revenue, and consent outcomes take 3–6+ months to validate a prediction. The founder's backtest on historical consents is the right answer to the second problem, not the first. The **data-rights risk** is real: Rightmove prohibits automated access, and good aerial imagery costs money, as Viability's switch away from satellite showed. The **fast-follower risk** is concentrated in PropertyData. Finally, the arithmetic shows that at average Cambridge prices the plain "buy, consent, sell the plot" play is roughly break-even. The customers who pay are likely to be those who buy below value, build out, or target larger plots in pricier sectors, and interviews should confirm which.

Conclusion

The policy wave of 2024–2026 has changed where property profit comes from. Stamp duty, Section 24, the Renters' Rights Act and dear money have eroded returns from buying cheap and holding or redecorating. They have left intact, and in places boosted, returns from creating something that did not exist before, above all a consented home on land that was garden. The one asset that none of today's tools can yet see in a listing is that land around the house. That is a genuine opening, but it is time-limited. The data is becoming structured through government AI programmes, and the likeliest copier already has "large plot" screens. The startup's lasting advantage will be judgement quality, knowing which plots actually pencil out, rather than data access.

Cambridge sharpens this. High prices per square metre make new floorspace valuable, but high stamp duty and criteria-based garden policy mean most big gardens will not pay for a speculative investor. The winning screener will be the one that credibly says "no" to 95 houses and explains why the 96th works. The first interviews should settle one question before any other: whether this customer buys on the open market at all. If they do, the founder has a sharp, underserved beachhead. If they do not, the same geometry and planning engine should point at owners to write to, not listings to buy. That is a different product with different competitors, and it is better to learn this in week one than after launch.